

illiquid asset investing if they could ferret out talented managers who had skill.⁶¹ Princeton followed close behind, and then Harvard joined the party.

In the 1990s, Yale again led the way by investing in hedge funds. Yale held no hedge funds in 1990, and by the end of the decade held over 20% of its portfolio in these *marketable alternatives*. Princeton followed suit, moving into hedge funds in 1995. Harvard again was the last of the three to move, doing so in 1998.

Panel A of Figure 1.5 graphs the allocation to alternative assets by endowments according to NACUBO from 2002 to 2012. Like lemmings, most endowments have enthusiastically followed HPY in allocating to private equity, hedge funds, and other alternative assets. In 2012, over half of all U.S. endowment assets were invested in alternative asset classes.

Most of these endowments, however, did not generate the superior returns enjoyed by HPY. Panel B of Figure 1.5 shows endowment returns computed by NACUBO. The large allocations to alternatives did not save endowments during the 2008 and 2009 financial crisis, when returns were -3.0% and -18.7% , respectively. Returns in 2012 were a dismal 0.3% . The illiquidity of the endowment model portfolios also proved to be a big problem when many universities, like Harvard, desperately needed cash during this time.⁶² Endowments would have been better off just holding the standard mix of 60% equities and 40% bonds. Since 2001, endowment returns averaged 4.6% compared to 5.4% in the 60/40 portfolio (consisting of the S&P 500 and U.S. Treasuries). The volatility of the 60/40 portfolio was also lower, at 10.2% , compared to the endowment return volatility of 11.3% .

4.3. KEEPING UP WITH THE JONES

William Goetzmann (my sometime co-author) and Sharon Oster, professors at Yale School of Management, argue that the rush to alternatives triggered by HPY resulted from “a form of arm’s race in which universities focus on ensuring adequate resources for tomorrow’s battlefield.”

Universities compete vigorously.⁶³ Of course, they try to outdo each other in sports. But they also try to outdo each other in the classroom and laboratory. They bid for the same students and try to hire the same professors. Goetzmann and Oster argue that as HPY moved to alternatives, competitive pressures forced other universities to follow suit. Endowment managers are also benchmarked against each other. This herding causes them to mimic each other. This *keeping up with*

⁶¹ Chapter 13 shows that the superior returns generated by these endowments were not due to the illiquid assets being illiquid, but to the skillfulness of the endowment managers in picking the right managers.

⁶² See “Liquidating Harvard,” Columbia CaseWorks ID #100312. Chapter 13 deals with investing in illiquid assets.

⁶³ A major paper documenting this is by Eppler, Romano, and Sieg (2006).